AD-HOC OPINION · JAPANESE TRADING HOUSES

Mitsui & Co.: generous cash returns, still driven by iron ore and energy

28 October 2026 · Syz Research

IMPORTANT NOTICE

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Japanese trading houses enter a new phase

From traders to investment groups

Japan's five large trading houses (Mitsubishi Corporation, Mitsui & Co., Itochu, Sumitomo Corporation and Marubeni) have spent the past decade turning from commodity traders into diversified investment groups. Commodities still carry a large weight in profits. A growing share now comes from businesses such as food, power, infrastructure, finance and consumer goods, which earn steadier returns through the cycle.

Capital discipline as the common thread

Each of the large houses now runs a plan that ties dividends and share buybacks to a return on equity goal. The Tokyo Stock Exchange's push for capital efficiency and the arrival of Berkshire Hathaway as a shareholder in all five houses have reinforced this. At the end of 2025, Berkshire held 10.4% of Mitsui, according to press reports.

A mixed commodity backdrop

Crude oil and iron ore prices could soften in 2027 and 2028 as new supply arrives. Copper stands apart: mine supply remains tight while demand from power grids, electrification and data centres keeps rising. The commodity mix of each house therefore matters more than usual.

Where Mitsui stands

Mitsui is one of the most resource-weighted houses. In the year to March 2026, its Mineral & Metal Resources and Energy segments earned about half of group profit (Syz calculation from company figures). Iron ore, mainly from Australia, is its largest single driver. LNG comes next, with copper a smaller part of the mix.

Profit has eased from its record in the year to March 2023. The first quarter of the current year brought a new quarterly record and covered 32% of the full-year plan, a pace similar to Marubeni's. Mitsui's plan to March 2029 targets profit of JPY 1.1 trillion and a 12% return on equity. It also commits to return around half of cumulative core operating cash flow to shareholders, with a dividend floor.

WHAT THIS MEANS FOR INVESTORS

Mitsui offers a visible return policy and a strong anchor shareholder. Its earnings, however, lean on iron ore and energy, the commodities where prices could soften in 2027 and 2028, more than on copper. This sets it apart from Marubeni, covered in a separate note of the same date. The half-year results of both houses on 4 November are the next checkpoint.

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Mitsui & Co. (8031 JP)

A record first quarter, an unchanged full-year plan and a new JPY 200 billion buyback

Share price	P/E on FY3/27 plan	Dividend yield	Buybacks FY3/27
JPY 5,042	**15.5x**	**2.8%**	**JPY 200bn**
Close, 28 October 2026	Company plan, Syz calculation	JPY 140 dividend floor	About 1.4% of market value

TECHNICAL TREND	SUPPORT	RESISTANCE	TREND CHANGE
Neutral, positive tilt	**JPY 4,672 / 4,407**	**JPY 5,263 / 5,333**	**Above JPY 5,333**

1. What the company does

Mitsui is a trading and investment group active in metals and mining, energy, machinery and infrastructure, chemicals, steel products, lifestyle (food, retail, healthcare) and innovation. In the year to March 2026 (FY3/26), profit attributable to shareholders was JPY 834.0 billion. Mineral & Metal Resources earned JPY 253.6 billion, including JPY 43.5 billion of Vale dividends, and Energy JPY 164.2 billion.

2. Why it could do well

First-quarter profit for FY3/27 reached a record JPY 294.1 billion, up from JPY 191.6 billion, and covered 32% of the unchanged JPY 920 billion full-year plan. The plan to FY3/29 targets profit of JPY 1.1 trillion, core operating cash flow of JPY 1.2 trillion and an ROE of 12%. New LNG capacity should help: Mozambique LNG, where Mitsui holds 20%, fully restarted in January 2026, with first LNG expected in 2029.

3. What sets it apart

A clear framework for cash returns, backed by Berkshire Hathaway as a long-term anchor shareholder:

- around 50% of three-year cumulative core operating cash flow returned to shareholders
- a dividend floor of JPY 140 a year from FY3/27 to FY3/29, up from JPY 115 in FY3/26
- a minimum total payout ratio raised to 40% from 37%
- a buyback of up to JPY 200 billion from August 2026 to January 2027, of which JPY 11.25 billion was done in August

4. Is the share cheap?

Less so than a few years ago. At JPY 5,042, the share trades at about 15.5 times the FY3/27 company plan, 17.3 times FY3/26 earnings per share of JPY 291.12 and about 1.6 times book value. The dividend and buyback add up to a cash return of about 4.2% (Syz calculations). The share sits well below its spring 2026 high but well above its level of a year ago (Chart 2). The valuation now rests more on delivery of the 2029 plan than on a discount to assets.

5. Main risks

- **Commodities.** Each USD 1 per tonne on iron ore moves annual profit by about JPY 3 billion. Iron ore and oil prices could soften in 2027 and 2028 as new supply arrives.
- **Yen.** Each JPY 1 move against the dollar changes profit by about JPY 4.6 billion. A stronger yen would reduce profit.
- **One-off gains.** Part of the first-quarter strength came from gains on investments, which do not recur every quarter.
- **Projects and geopolitics.** Mozambique LNG carries security and execution risk. Mitsui's Russian LNG interests (Sakhalin-2, Arctic LNG 2) remain exposed to sanctions.

6. What to watch next

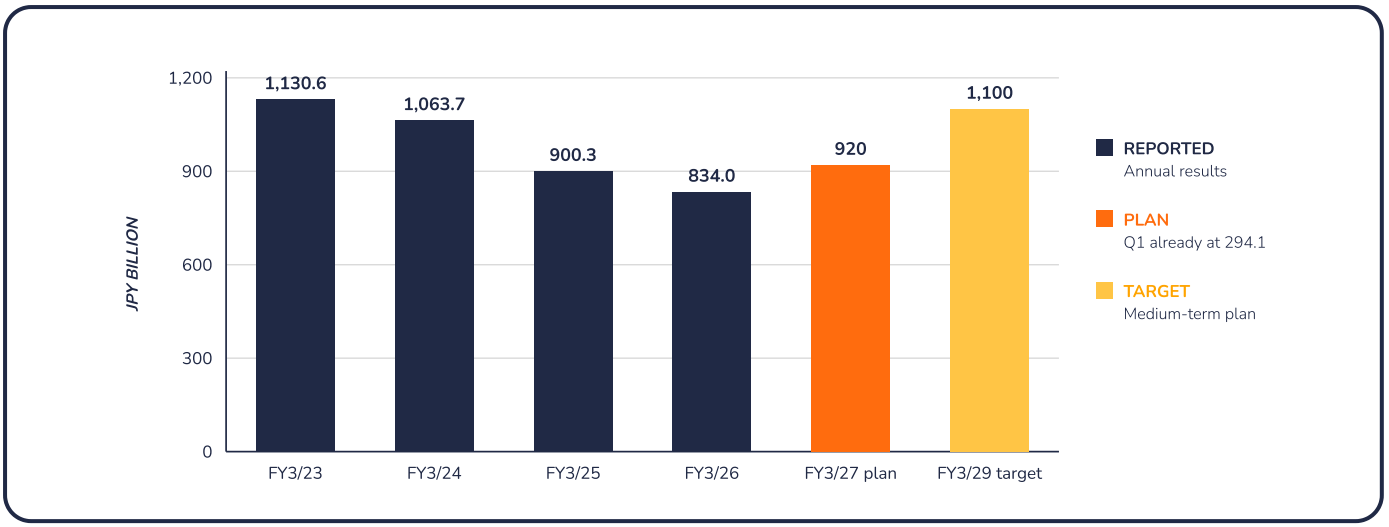
The half-year results on 4 November 2026, and whether the JPY 920 billion plan is revised. After that, the pace of the buyback, iron ore and LNG prices, the yen, and any change in Berkshire's stake. On the chart, a close above JPY 5,333 could confirm an improving trend, while JPY 4,672 is the level to watch on the downside.

CONCLUSION

Mitsui gives an investor a broad portfolio with iron ore and energy at its core, a well-defined return policy with a dividend floor, and an anchor shareholder. Against this, the shares have already re-rated, the first quarter was helped by one-off gains, and earnings depend heavily on commodities whose prices could soften and on the yen. The main question is how much confidence one places in the 2029 plan and how much commodity-cycle volatility one is ready to accept.

Chart 1 · 8031 JP: profit has normalised, the plan points back up

Profit attributable to owners of the parent, JPY billion, fiscal years ending March. FY3/27 is the company's business plan, FY3/29 its medium-term target.



Source: Mitsui & Co. annual results and Medium-term Management Plan 2029, Syz Research

Chart 2 · 8031 JP: range-bound below the 200-day average

Daily share price in yen with the 50-day (blue) and 200-day (red) moving averages, stochastic, and relative strength against the TOPIX with its 200-day average. Chart as of 28 October 2026.



Source: Syz Research, Bloomberg (Technical Takes, 28 October 2026)

Key figures

FY3/27 BUSINESS PLAN AND SENSITIVITIES

ITEM	COMPANY FIGURE
Profit attributable to shareholders	JPY 920 bn
Core operating cash flow	JPY 1,050 bn
Brent assumption	USD 78 / bbl
Iron ore, per USD 1 / t	≈ JPY 3.0 bn
USD/JPY, per JPY 1	≈ JPY 4.6 bn
AUD/JPY, per JPY 1	≈ JPY 1.8 bn

Source: Mitsui & Co. FY March 2026 results presentation (1 May 2026)

SHAREHOLDER RETURNS

ITEM	COMPANY FIGURE
Dividend FY3/26	JPY 115
Dividend floor FY3/27 to FY3/29	JPY 140
Minimum total payout ratio	40%
Returns over the plan	≈ 50% of core OCF
Buyback, Aug 2026 to Jan 2027	≤ JPY 200 bn
Bought in August 2026	JPY 11.25 bn

Source: Mitsui & Co. publications (1 May, 4 August and 1 September 2026)

READING THE NUMBERS

The FY3/27 plan implies profit of about JPY 626 billion over the last nine months of the year, after JPY 294.1 billion in the first quarter. This is below the first-quarter run rate. The difference reflects one-off gains in the first quarter and the company's commodity and currency assumptions (Syz calculation). How commodity prices and the yen have moved since the plan was set will largely decide whether it is revised on 4 November.

Mitsui and Marubeni side by side

Both houses report half-year results on 4 November 2026. The table compares company figures only. Valuation multiples are left out because the two notes use different earnings bases: the Mitsui multiple uses the company plan, the Marubeni multiple uses consensus.

COMPANY FIGURE	MITSUI & CO.	MARUBENI
Profit FY3/26	JPY 834.0 bn	JPY 543.9 bn
First-quarter profit FY3/27	JPY 294.1 bn	JPY 186.4 bn
Full-year profit plan FY3/27	JPY 920 bn	JPY 580 bn
First quarter as a share of the plan	32%	32%
Buybacks announced for FY3/27	JPY 200 bn	JPY 145 bn
Dividend per share FY3/27	JPY 140 (floor)	JPY 115 (forecast)
Return on equity goal	12% by FY3/29	15% (GC2027)
Main resource drivers	Iron ore, LNG, copper	Copper, coking coal, LNG

Source: Mitsui & Co. and Marubeni publications, Syz Research ad-hoc opinion on Marubeni (28 October 2026)

Sources

Syz Research, Bloomberg. Syz Research Technical Takes on Mitsui & Co. (28 October 2026) and Syz Research ad-hoc opinion on Marubeni (28 October 2026). Mitsui & Co.: Financial results for the year ended March 2026 and results presentation (1 May 2026); Medium-term Management Plan 2029 (1 May 2026); first-quarter results for the year ending March 2027 and share buyback announcement (4 August 2026); buyback progress notice (1 September 2026). Marubeni: first-quarter results and share buyback announcement (August 2026). TotalEnergies: Mozambique LNG full restart press release (29 January 2026). Press reports on Berkshire Hathaway's stakes in the Japanese trading houses. Syz Research calculations: segment share of profit, P/E, price to book, dividend and buyback yields, profit implied for the remaining nine months.

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